

IMARTICUS LEARNING

ISDA & OTC Trade Life Cycle

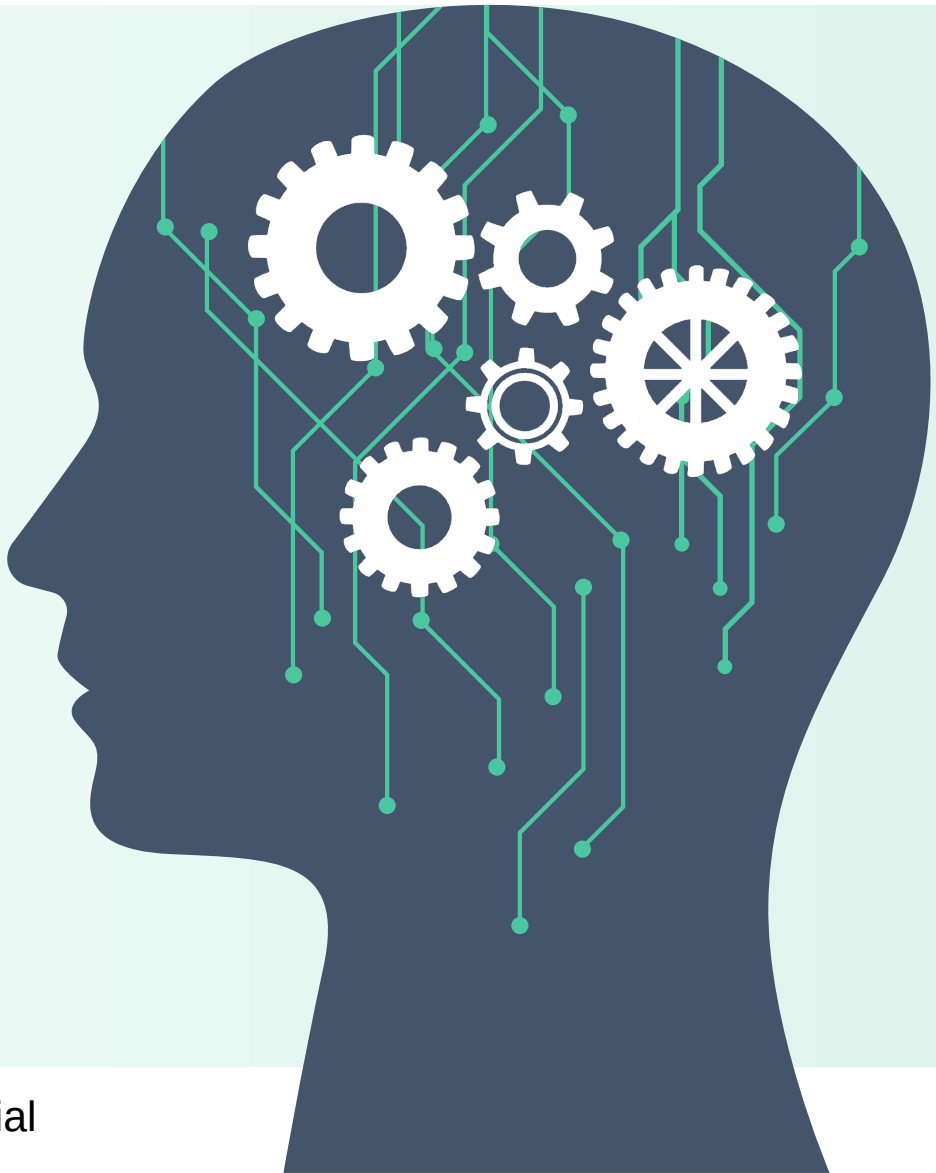


DISCLAIMER

The training content and delivery of this presentation is confidential, and cannot be recorded, or copied and distributed to any third party, without the written consent of IMARTICUS Learning Pvt . Ltd.

YOU ARE GOING TO LEARN…

- Introduction to ISDA
- Introduction to OTC Markets
- OTC Trade Life Cycle
- Key players in OTC markets
- Trade Lifecycle Overview
- Real Life Examples



IMARTICUS LEARNING

Introduction to ISDA and OTC Markets



ISDA - INTERNATIONAL SWAP DERIVATIVES ASSOCIATION

IMARTICUS LEARNING

1

The ISDA was created due to the challenges the growing derivatives market posed for financial institutions.

2

The demand for derivatives grew with the increasingly global nature of finance, but a lack of clarity on what the parties in a derivatives transaction were risking and receiving hurt the industry.

3

ISDA wants to achieve three main goals: reduce counterparty/ credit risk, increase market transparency and improve the industry's operational infrastructure

4

In order to facilitate the safe and efficient trading of derivatives, ISDA has created a standardized contract, known as the ISDA Master Agreement, for those firms that wish to participate in private derivatives transactions.

5

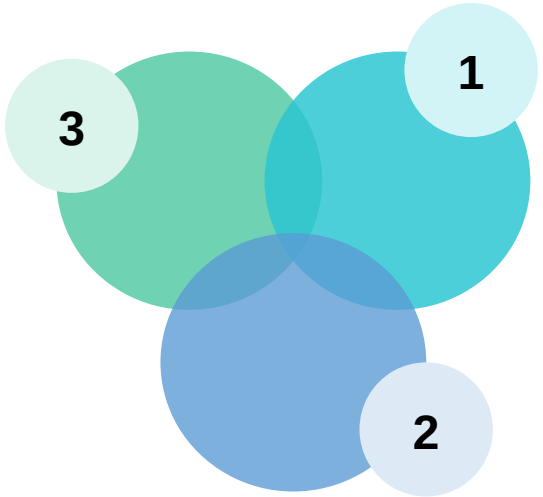
This association helps to improve the market for privately negotiated over-the-counter (OTC) derivatives by identifying and reducing risks in that market.

OBJECTIVE OF ISDA

- The International Swaps and Derivatives Association (ISDA) has several key objectives and functions, primarily related to the over-the-counter (OTC) derivatives market. Some of the main objectives of ISDA include:
  - **Standardization:** ISDA works to create standardized documentation for OTC derivatives transactions, including the widely used ISDA Master Agreement. Standardization simplifies the trading process, reduces legal and operational risks, and enhances market efficiency.
  - **Risk Mitigation:** ISDA helps its members and the derivatives industry in general to develop risk management practices. This includes measures to reduce credit risk, operational risk, and legal risk in OTC derivatives transactions.
  - **Market Infrastructure:** ISDA plays a role in the development and improvement of market infrastructure, including trade repositories and market standards. These initiatives aim to enhance transparency and regulatory reporting in the OTC derivatives market.

OBJECTIVE OF ISDA

Collaboration: ISDA promotes collaboration and cooperation among its members and the broader financial industry, fostering a sense of community and shared responsibility for the integrity and stability of the derivatives markets.



Dispute Resolution: ISDA has established mechanisms for dispute resolution in the event of conflicts or disagreements arising from derivatives transactions. This helps to ensure that disputes can be resolved efficiently and fairly.

Market Data: ISDA collects and publishes data related to OTC derivatives markets. This data is used for various purposes, including risk analysis and market research.

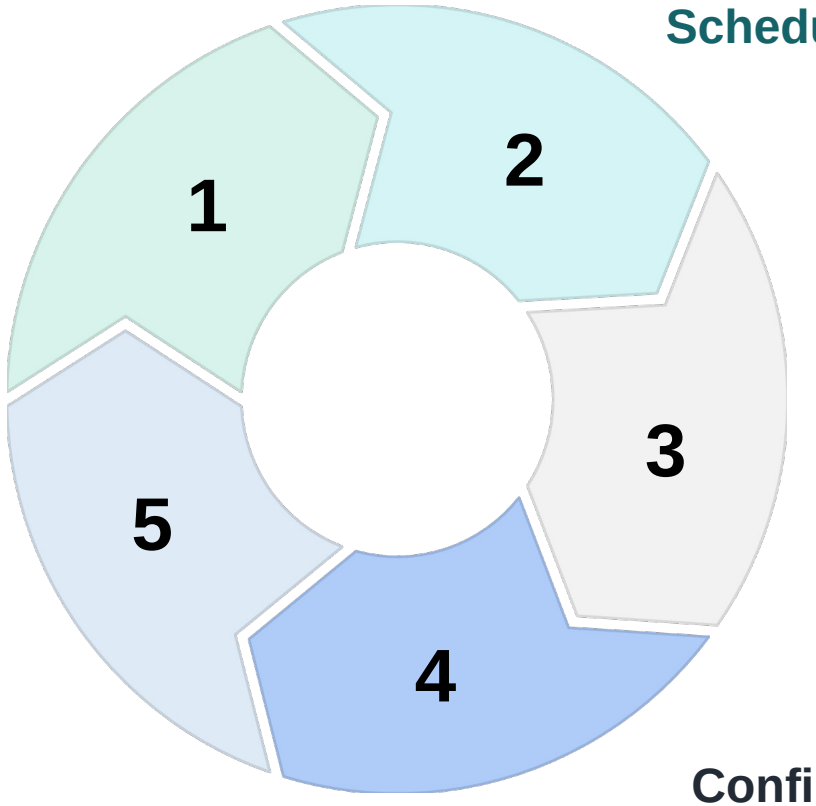
ISDA - INTERNATIONAL SWAP DERIVATIVES ASSOCIATION

- Created in 1985, the ISDA has members from institutions around the world
  - Global Financial Institutions, Asset Management Firms, Hedge Funds, Corporations, Law Firms, Regulators and Government Agencies, Technology and Service Providers, Market Infrastructure Providers and Academic and Research Institution
- ISDA is not a regulatory body
- This contract governs all over-the-counter “OTC” derivatives transactions, cleared or non cleared, entered into between counterparties.

ISDA - INTERNATIONAL SWAP DERIVATIVES ASSOCIATION

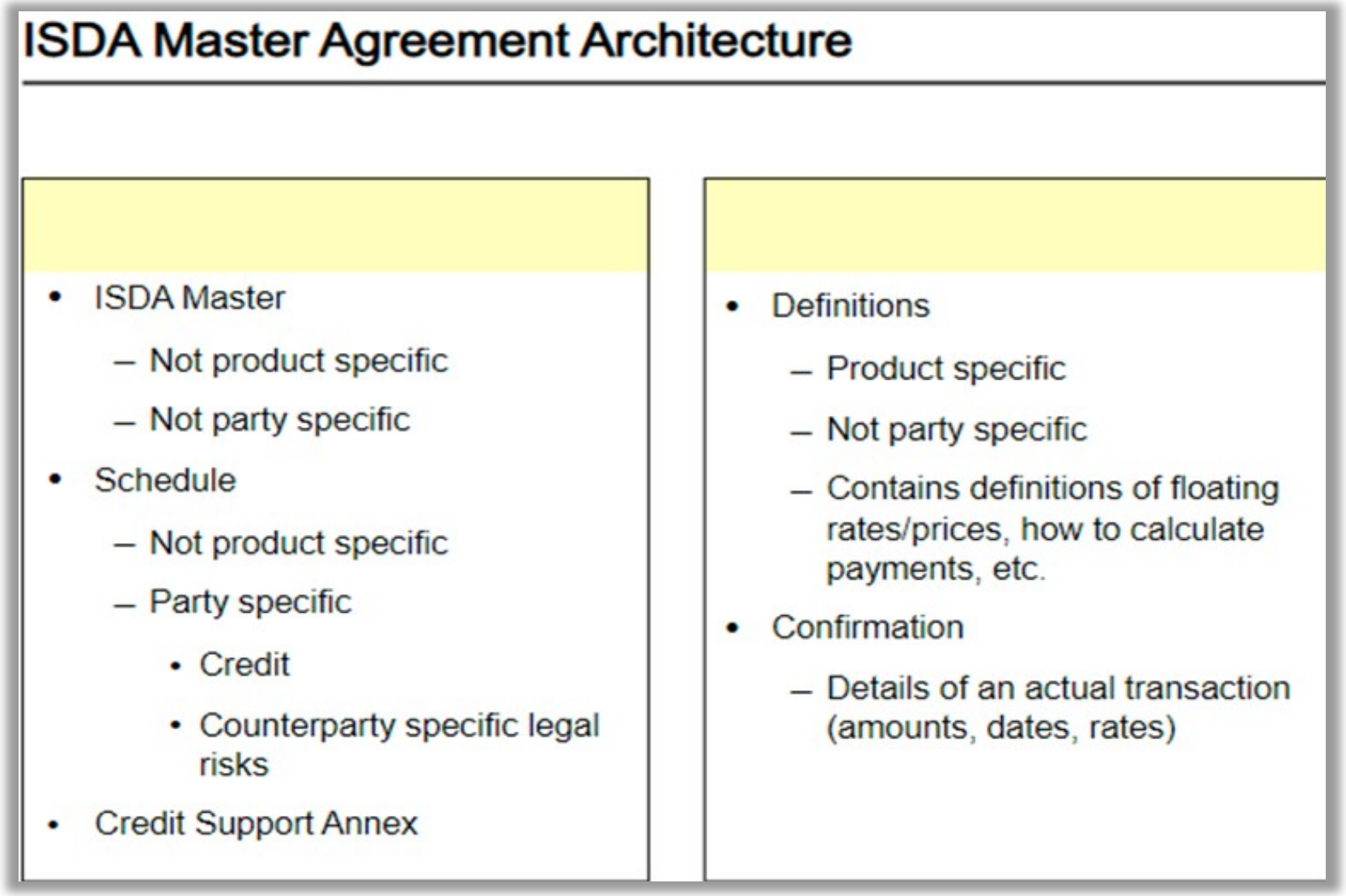
IMARTICUS LEARNING

ISDA has five parts:



1. IMA - ISDA Master Agreement
2. Schedule
3. CSA – Credit Support Annex
4. Confirmation
5. Definitions

ISDA - INTERNATIONAL SWAP DERIVATIVES ASSOCIATION



ISDA - IMA

1 **NOT PRODUCT SPECIFIC**

2 **NOT PARTY SPECIFIC**

- IMA : this is the key document which defines the essential responsibilities
  of both parties, using predefined and standard terms and conditions
  (and which is typically not tailored to record particular arrangements
  between the two specific parties)
- A pre-printed umbrella document which includes the boilerplate provisions (unless varied by the schedule to the master agreement)



Events of Defaults and Termination Events

1. EVENTS
2. PAYMENT AND DELIVERIES
3. CLOSE OUT AND NETTING
4. DISPUTES
5. CONTRACT FORMATION AND LEGAL RELATIONS

EVENTS - EVENTS OF DEFAULTS AND TERMINATION EVENTS

IMARTICUS LEARNING

Events of Defaults

1. Failure to Pay: Occurs when one party fails to make a required payment, such as interest, principal, or margin, when due.

2. Bankruptcy: If a party becomes insolvent, enters bankruptcy, or is subject to a similar event, it may trigger an Event of Default.

3. Cross Default: If a party defaults on a related financial agreement, it can trigger an Event of Default in the derivative contract.

4. Credit Support Default: If a party fails to post required collateral or provide a default amount, it may constitute an Event of Default.

5. Misrepresentation or Breach of Representations: A material misrepresentation or breach of representations and warranties by a party can trigger an Event of Default.

6. Illegality: If a change in law or regulations makes it illegal or impractical to maintain the derivative transaction, it may trigger an Event of Default.

EVENTS - EVENTS OF DEFAULTS AND TERMINATION EVENTS

Termination Events

- **Force Majeure:** Certain extraordinary events beyond the control of the parties, such as acts of war, natural disasters, or government actions, can trigger a Termination Event.
- **Illegality:** Similar to the Event of Default, a change in law or regulations that makes the transaction illegal can trigger a Termination Event.
- **Tax Event:** If a change in tax law results in adverse tax consequences for one of the parties, it can trigger a Termination Event.
- **Termination for Convenience:** Some derivative contracts allow for termination by one or both parties without cause, subject to certain notice and other requirements.
- **Credit Event:** In credit derivatives, such as credit default swaps (CDS), the occurrence of a credit event related to the reference entity, such as a bankruptcy or failure to pay, can trigger a Termination Event.

ISDA - SCHEDULE

PARTY SPECIFIC

- This is the second legal document (after the IMA) and is used to record the particular arrangements desired by both organisations, over and above the content of the ISDA master agreement
- Typically use to alter the terms of and add terms to the pre-printed standard form ISDA Master Agreement
- The ISDA Schedule is incorporated into, supplements and forms a part of the ISDA Master Agreement.
- Schedule which allows parties to add to or amend the standard terms
- The Schedule is what negotiators negotiate.
- It typically takes at least 3 months to negotiate the Schedule but this can be shorter or longer depending on the complexity of the provisions concerned and the responsiveness of the parties.

ISDA - CSA - CREDIT SUPPORT ANNEX

- Credit Support Annex (CSA): this is the third legal document and is used to record the particular arrangements relating specifically to the posting of OTC derivative-related collateral between the two parties.
- It is possible to have an ISDA agreement without a CSA but normally not a CSA without an ISDA
  - Types of Collateral Cash collateral (may be used for all Derivatives transactions)
  - Threshold Amount
  - Minimum Transfer
  - Independent Amount
  - Valuation Frequency and Source for Pricing

An optional document, the CSA is used when both parties agree to use collateral to cover risk exposures

ISDA - DEFINITIONS

IMARTICUS LEARNING

PRODUCT SPECIFIC

- All significant terms used in the Master Agreements are either defined in section 14 or as the parties agree in the Schedule. ISDA has prepared several specialist sets of definitions

- Access below link to check the IMA and schedule
  - https://www.sec.gov/Archives/edgar/data/1107694/000119312508091225/dex1032.htm

IMARTICUS LEARNING

Introduction to OTC Markets



WHAT IS OTC MARKET?

OTC Market

The OTC (Over-the-Counter) market, also known as the off-exchange market, is a decentralized financial market where the trading of financial instruments, such as stocks, bonds, commodities, derivatives, and foreign exchange, takes place directly between participants, typically over electronic networks or via telephone. In the OTC market, trading does not occur on a centralized exchange or organized trading floor, as it does in traditional exchange markets like the New York Stock Exchange (NYSE) or NASDAQ.



KEY CHARACTERISTICS OF THE OTC MARKET INCLUDE

IMARTICUS LEARNING

Decentralization

OTC trading occurs bilaterally between buyers and sellers, often facilitated by dealers or brokers. There is no physical location or central exchange where trading takes place.

Accessibility

The OTC market is accessible to a wide range of participants, including financial institutions, corporations, individual investors, and government entities. It is less exclusive than many traditional exchanges.

Diversity of Instruments

OTC markets trade a wide variety of financial instruments, including stocks, bonds, currencies, commodities, and derivatives such as options and swaps.

KEY CHARACTERISTICS OF THE OTC MARKET INCLUDE

IMARTICUS LEARNING

Customization

OTC transactions often involve customized or non-standardized contracts, allowing parties to tailor the terms of their agreements to meet their specific needs.

Lack of Transparency

OTC transactions are generally not as transparent as exchange-traded transactions. Pricing and trade details may not be publicly disclosed, which can impact market efficiency.

Counterparty Risk

OTC transactions involve counterparty risk, meaning that participants must consider the creditworthiness and financial stability of their trading partners.

KEY CHARACTERISTICS OF THE OTC MARKET INCLUDE

IMARTICUS LEARNING

Regulation

OTC markets are subject to regulatory oversight, but the degree and type of regulation can vary by jurisdiction and asset class

Forex (Foreign Exchange) Market

The largest OTC market in the world, where currencies are traded in a decentralized manner.

OTC Derivatives Market

Many OTC derivative products, such as interest rate swaps, credit default swaps, forwards, SLB and options, are primarily traded in OTC markets.

Key Players in OTC Markets



THE MAIN PLAYERS IN THE OTC MARKET

IMARTICUS LEARNING

Buy-Side Participants

- Individual Investors: Retail investors who trade OTC securities, such as over-the-counter stocks or OTC derivatives.
- Institutional Investors: Large organizations like mutual funds, pension funds, and insurance companies that trade OTC securities to manage their portfolios.

THE MAIN PLAYERS IN THE OTC MARKET

IMARTICUS LEARNING

Sell-Side Participants

- **Broker-Dealers:** Financial institutions that act as intermediaries between buyers and sellers, executing OTC trades on behalf of clients and providing market-making services. They may also take proprietary positions.
- **Market Makers:** Firms or individuals that facilitate trading by continuously quoting bid and ask prices for specific securities, helping to maintain liquidity.
- **Investment Banks:** These banks engage in various activities, including underwriting, trading, and advisory services in the OTC market.
- **Trading Desks:** These are specialized units within financial institutions that handle trading activities in the OTC market, including trading, risk management, and order execution.
- **OTC Trading Platforms:** Electronic platforms or networks that facilitate OTC trading, such as ECNs (Electronic Communication Networks) and alternative trading systems.

THE MAIN PLAYERS IN THE OTC MARKET

IMARTICUS LEARNING

Intermediaries

- **Clearinghouses:** Organizations that act as intermediaries in the settlement process, ensuring that transactions are completed and guaranteeing their financial integrity. Clearinghouses are particularly important in the OTC derivatives market.
- **Custodians:** Institutions that hold and safeguard financial assets for clients. They may also provide services related to settlement and record-keeping.
- **Transfer Agents:** Entities responsible for maintaining shareholder records and assisting with stock transfers and other corporate actions.

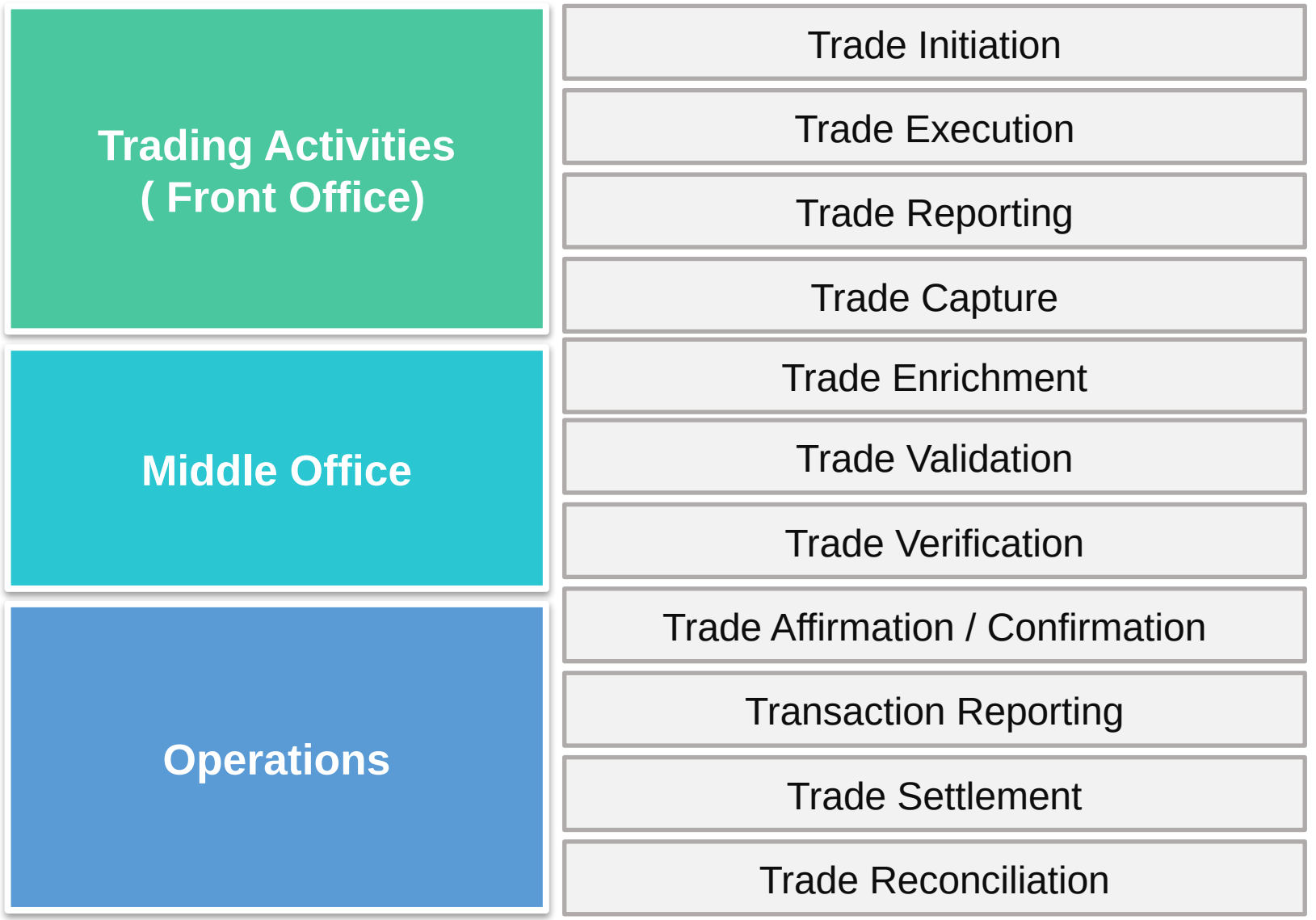
THE MAIN PLAYERS IN THE OTC MARKET

- **Hedge Funds and Asset Managers:** These entities actively trade in the OTC market to implement investment strategies and manage portfolios.
- **Data Providers and Analytics Firms:** Companies that offer market data, research, and analytics services, providing valuable insights to market participants.
- **Credit Rating Agencies:** Entities that assess the creditworthiness of issuers and their securities, helping investors evaluate OTC investments.
- **Legal and Compliance Professionals:** Lawyers and compliance experts who help market participants navigate the regulatory and legal complexities of the OTC market, including the negotiation and documentation of OTC agreements.



OTC-Trade Lifecycle Overview

TRADE LIFE CYCLE



LIFE CYCLE OF AN OTC DERIVATIVES TRADE

1. TRADE INITIATION

- In this step, traders will bring all the stakeholders together and discuss the possibilities of the trade. So, it is highly customized. A discussion about the client requirement and trade structure takes place. Stakeholders involved in it can be a
  - **Legal and Compliance Team –** to make sure that the trade transactions are legally correct and in compliance with the company's policies;
  - **Operations Team –** to make sure that the deal is operationally done in the system and the system supports such customized OTC deal.
  - **KYC Team –** to onboard the client
  - **RDM Team –** to set up data
  - **Risk Management Team –** to identify the market risk, and credit risk involved in such deals;

- Thus, all these stakeholders will make sure that the system and process are in place, Static Data is set up, IT is set up and Trade is executed properly.

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

1

ISDA – IMA SCHEDULE CSA

2

Once negotiation has been completed and both parties have applied their signatures, each of the documents will 1) state the names of the two organisations, and 2) be dated.

Trade Execution - Order is placed by telephone or via an order management system (and in some cases, via the bank's own order management system)

Reuters / EBS

Single Dealer Platforms/ Multi Dealer Platform

ECN's

Voice Brokers

SEF's

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

2. TRADE EXECUTION

Trade execution occurs when two counterparties agree to a transaction. In OTC derivatives trading, this traditionally takes place over the telephone directly between two parties or through a broker. More recently, electronic trading systems have become available for counterparties to trade some of the more standardised OTC derivative products. Front Office agrees with the counterparty for the trade.

3. TRADE REPORTING

Trade reporting is mandatory for all financial instruments, including OTC derivatives.
Purpose: Ensure market transparency, so regulators can see price, volume, and timing, even for trades executed outside an exchange. Trade must be reported as soon as technically possible after execution, but no later than T+1 (the close of the next business day). Data Reported are :

- Instrument identifiers (ISIN / CFI / other)
- Price, notional amount, quantity
- Buy/sell indicator
- Counterparty identifiers (LEI)
- Execution timestamp
- Unique Transaction Identifier (UTI)
- Venue of execution or OTC flag

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

IMARTICUS LEARNING

4. TRADE CAPTURE

Once a trade has been executed, the parties must capture the trade details in their internal systems for post-trade processing and risk management. Trade capture can be manual, where trade tickets prepared by traders are passed to the middle office for processing, or automated, where the trader enters the information directly into a front office trading system and the trade details flow through to downstream systems with limited or no manual intervention. Data on trades completed over third-party electronic trading systems can often be transferred into internal systems through a file transfer or direct link with the electronic trading platforms.

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

TRADE CAPTURE

The information will be submitted to the Middle Office either electronically or manually using a trade ticket. Illustrates an example of a trade ticket.

Trade Component	Example Trade Detail
Transaction Type	Interest Rate Swap: Fixed-for-Floating
Notional Principal	EUR 30,000,000.00
Fixed Rate Payer	Bank T
Floating Rate Payer	Firm X
Fixed Rate	4.0% semi-annual
Floating Rate	6-month EUR Libor
Trade Date	1st November 2016
Effective Date	1st November 2016
Scheduled Maturity Date	1st November 2021

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

IMARTICUS LEARNING

5. TRADE ENRICHMENT

- Generically, cash payments are made by a firm by initially appointing a cash correspondent (or nostro) for a particular currency, then issuing a settlement instruction to that nostro for individual cash payments.
- Deadlines are applied by nostros for the receipt of settlement instructions relative to the due date (or value date) of payment
- In order to facilitate the payment of cash to a counterparty, it is common practice for standing settlement instructions (SSIs) to be stored within a firm's static data repository.

6. TRADE VALIDATION

Trade details are validated through RDM

7. TRADE VERIFICATION

Confirming with FO

TRADE VALIDATION

Additional Rules

- Trades Due to Settle on an FOP
- Trades with a Cash Value At or Above a Certain Figure
- Trades in a Specific Transaction
- Trades with a Specific Counterparty
- Trades Due to Settle at a Specific Custodian
- Trades with Value Date in the past
- All Amended Trades
- All Cancelled Trades

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

8. TRADE AFFIRMATION / CONFIRMATION

Counterparties can initially affirm the key economic details of their trades with each other before sending outgoing confirmations (ICE Link platform is an example of the affirmation model - trade affirmation services between sell-side firms and their buy-side clients).

- A confirmation provides a more detailed view of a transaction at one point in time and should be sent as soon as possible.
- A trade confirmation is also a legal document and is in addition to the set of documents signed prior to the first trade being executed.
- In order to standardise the confirmation format, the ISDA has prepared a set of templates. Examples available on the ISDA's Bookstore
- The primary purpose of issuing confirmations is to ensure that the counterparties agree on the economic terms of the trade
- Dealers generally send out confirmations between one and five days after the trade date, usually by fax or telex.

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

1

In order to standardise the confirmation format, the ISDA has prepared a set of templates. Examples available on the ISDA's Bookstore

2

MarkitSERV is an example of the confirmation matching model - two sell-side firms trade with one another

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

- Constituent of Confirmation
  - Economic Terms
  - Payment/Obligations
  - Timing And Method of Payment / Deliveries
  - Account Details
- SwapsWire is an electronic dealing system designed for the electronic platform designed to promote efficiencies for the OTC derivatives market.
- SwapsWire supports Interest Rate Swaps (IRS), Forward Rate Agreements (FRAs), Overnight Index Swaps (OIS), Interest Rate Caps and Floors, Interest Rate Swaptions, and Credit Default Swaps (CDS) in

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

- **SHORT FORM -** A short form document typically refers to a concise and simplified version of a legal agreement, often used in conjunction with or as an alternative to a more comprehensive and detailed master agreement. This short form document is designed to streamline the negotiation and execution process, making it quicker and more efficient for parties engaging in OTC transactions.
- **LONG FORM -** However, with the same documentation in place, should the firm and the same counterparty choose to execute a trade in an OTC derivative product not covered by the legal documentation, the firm must take additional steps in order to protect itself. For example, if the firm executed a trade with the same counterparty in a variance swap, as this OTC derivative product is not covered by the existing legal documentation between the two parties, a long form confirmation should be issued by one of the parties and signed and returned by its counterparty.

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

9. TRANSACTION REPORTING - Transactions can be reported to the regulator by firms using systems known as approved reporting mechanisms (ARMs).

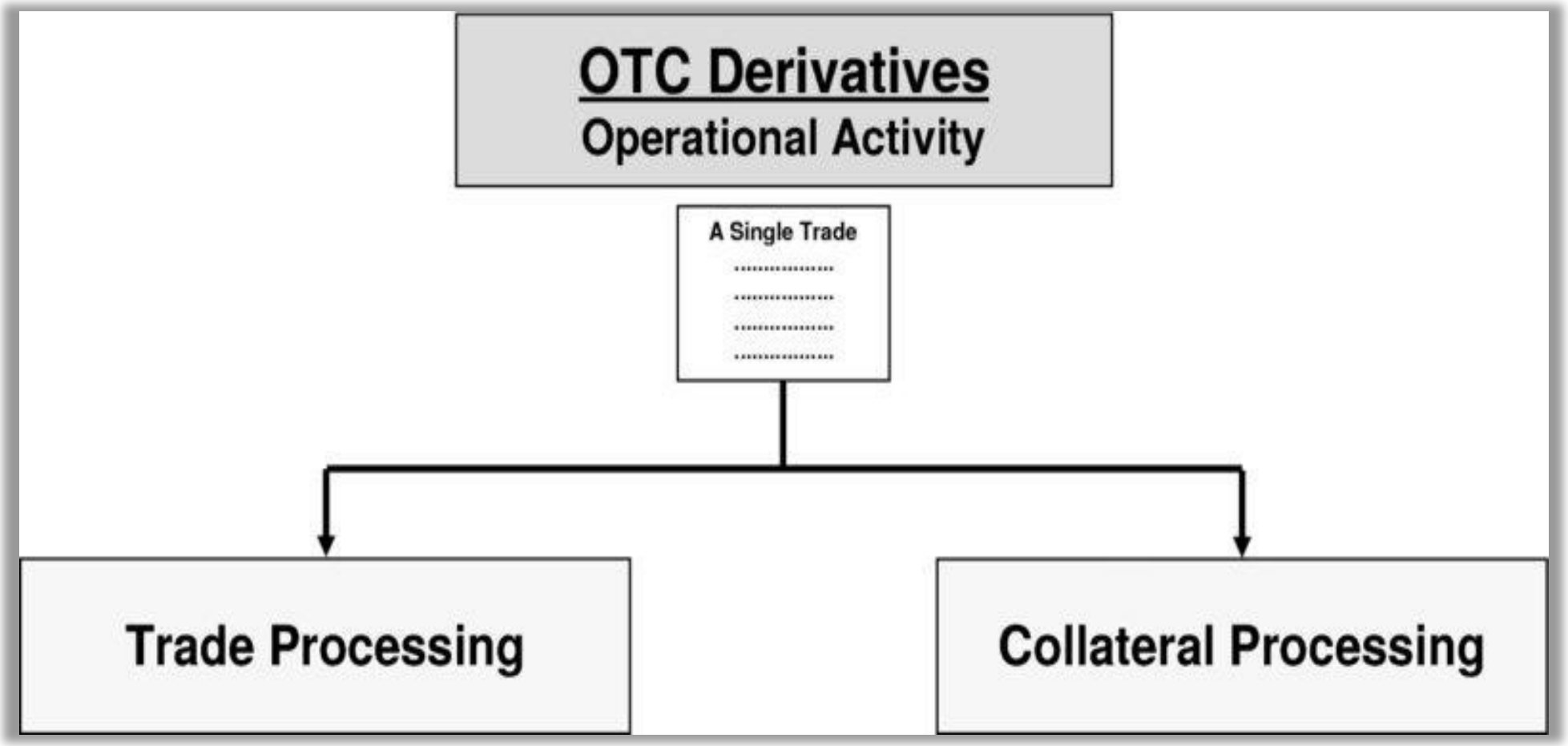
ARM	System	ISIN	OTC	All
Credit Suisse Securities (Europe) Lim	DARE	Yes	Yes	Yes
Euroclear UK and Ireland	CREST	Yes	No	No
Xtrakter	TRAX	Yes	Yes	Yes
London Stock Exchange	UniVista	Yes	Yes	Yes
Getco Europe Ltd	GETCO	Yes	Yes	Yes
Abide Financial Ltd	TransacPort	Yes	Yes	Yes

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

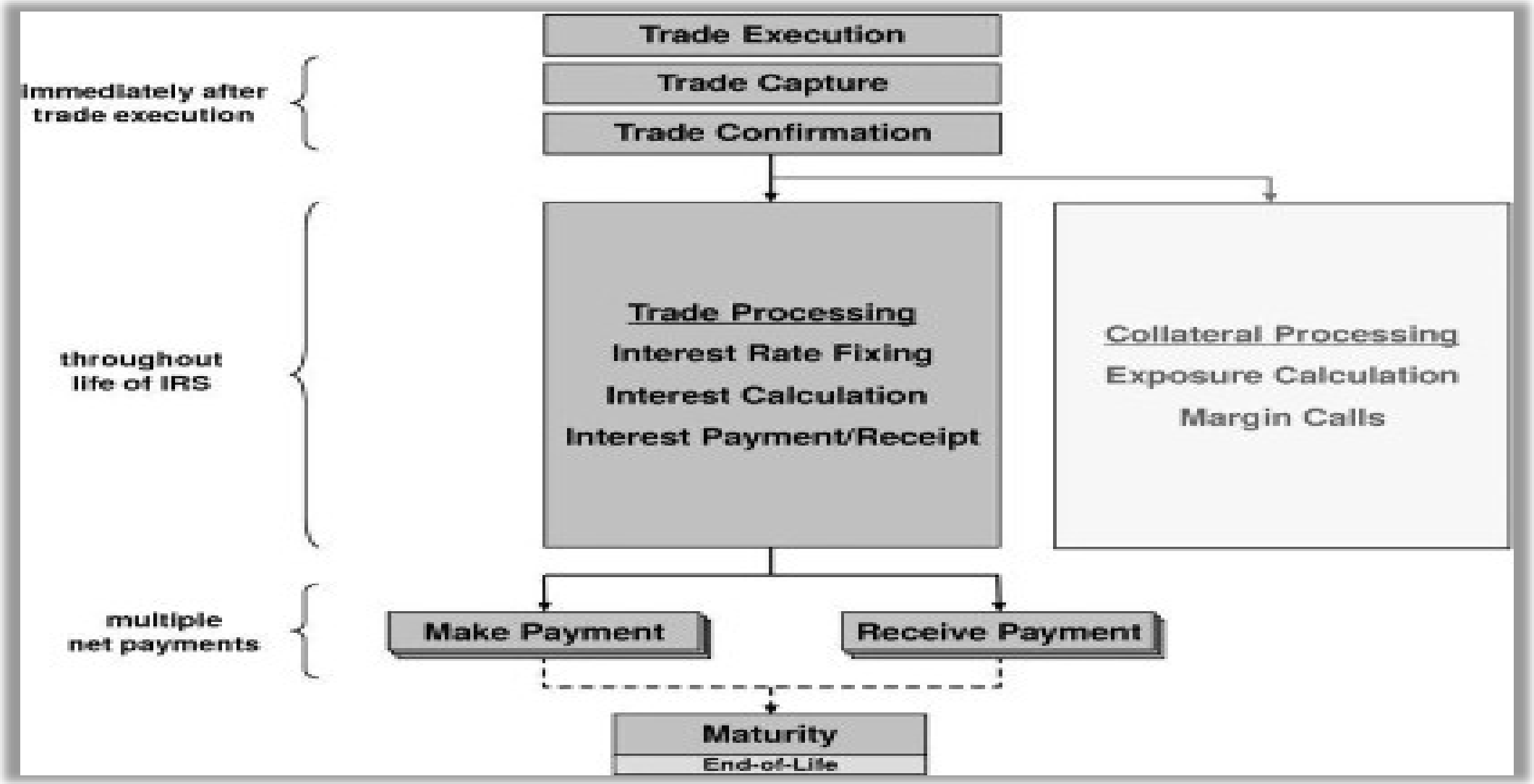
CCIL has been designated as a Trade Repository by RBI to develop and provide a platform to market participants to report OTC derivatives deals executed in India.

European trade repositories	
Trade Repository	Derivative Asset Class
DTCC Derivatives Repository Ltd	All asset classes
Krajowy Depozyt Papierów Wartosci	All asset classes
Regis-TR S.A.	All asset classes
UnaVista Limited	All asset classes
CME Trade Repository Ltd	All asset classes

LIFE CYCLE OF AN OTC DERIVATIVES TRADE



LIFE CYCLE OF AN OTC DERIVATIVES TRADE



LIFE CYCLE OF AN OTC DERIVATIVES TRADE

Trade processing

Includes

1) The trade confirmation/affirmation process.

2) Settlement of OTC derivative trades, for example the payment of periodic interest in an interest rate swap, whilst

Collateral processing

Involves

1) The identification of counterparty **exposure,**

2) The **mitigation** of such exposures via the issuance or receipt of **margin calls,** and

3) The movement of assets to or from the counterparty to settle the margin calls.

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

- From an operations perspective, both parties to an IRS trade must:
  - Calculate the net differential between the fixed interest rate and the floating interest rate for the period in question
  - Determine which party is responsible for making the net payment
  - And, the paying party must ensure payment is made to the counterparty on the due date, whilst the receiving party ensures the payment is received from its counterparty when falling due

LIFE CYCLE OF AN OTC DERIVATIVES TRADE

TRADE SETTLEMENT

- There are two types of OTC derivative contracts:
  1. Cleared OTC derivatives and
  2. Non-cleared OTC derivatives
- Traditionally, OTC derivative contracts are non-cleared and generally settled by the parties themselves. Payments and deliveries are made directly to one another. The two parties are taking credit risk on each other performing their obligations or remaining solvent.
- Similarly, during a trade's lifetime events can occur which cause: the trade to terminate earlier than its scheduled maturity date - trade/portfolio netting (trade compression), novation, unwind and offset.
- However, if no such events arise, the exchange of cash flows will continue its life until the trade's scheduled maturity date is reached.

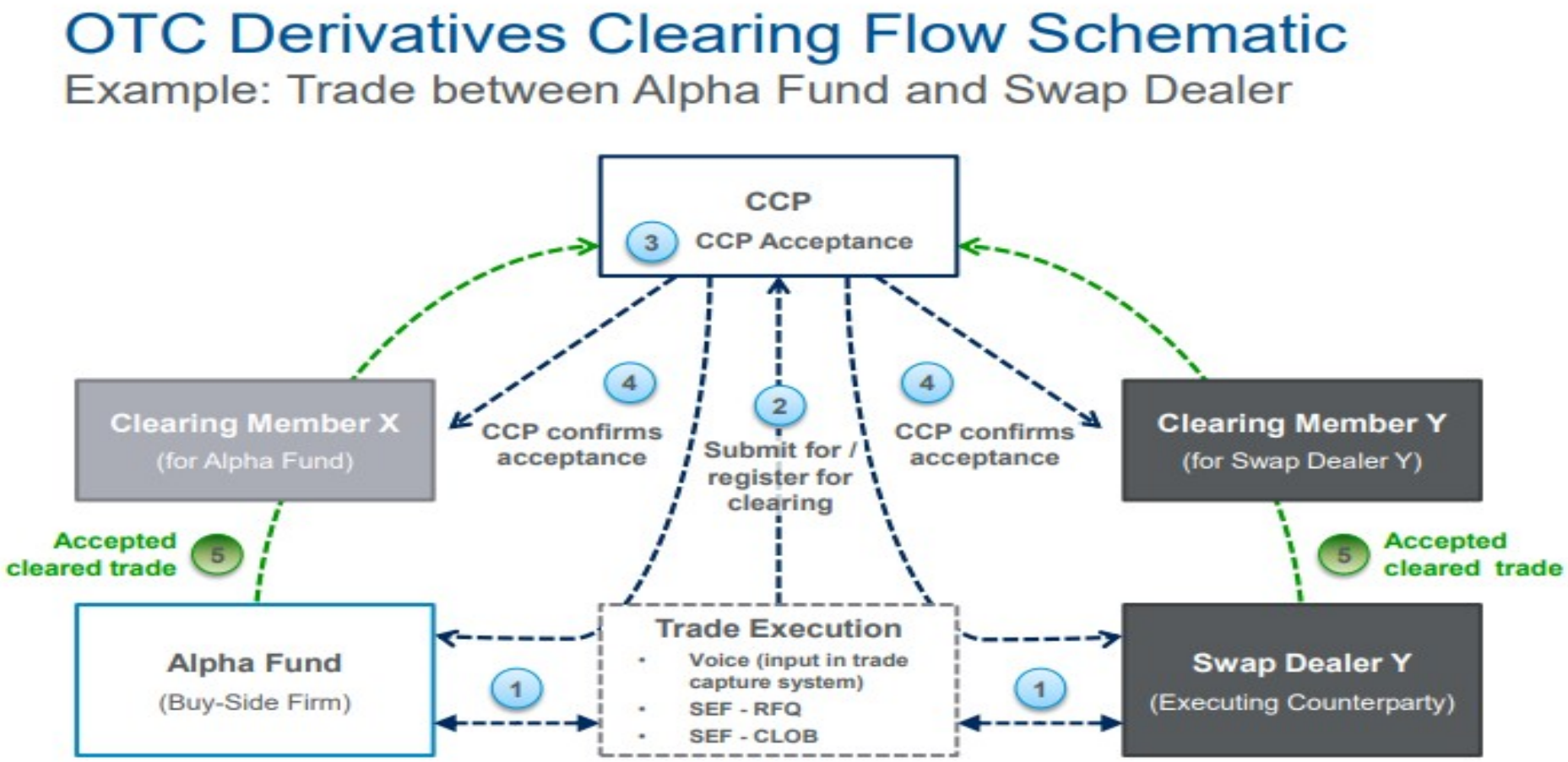
OTC – CLEARING MODEL USED

Clearing model

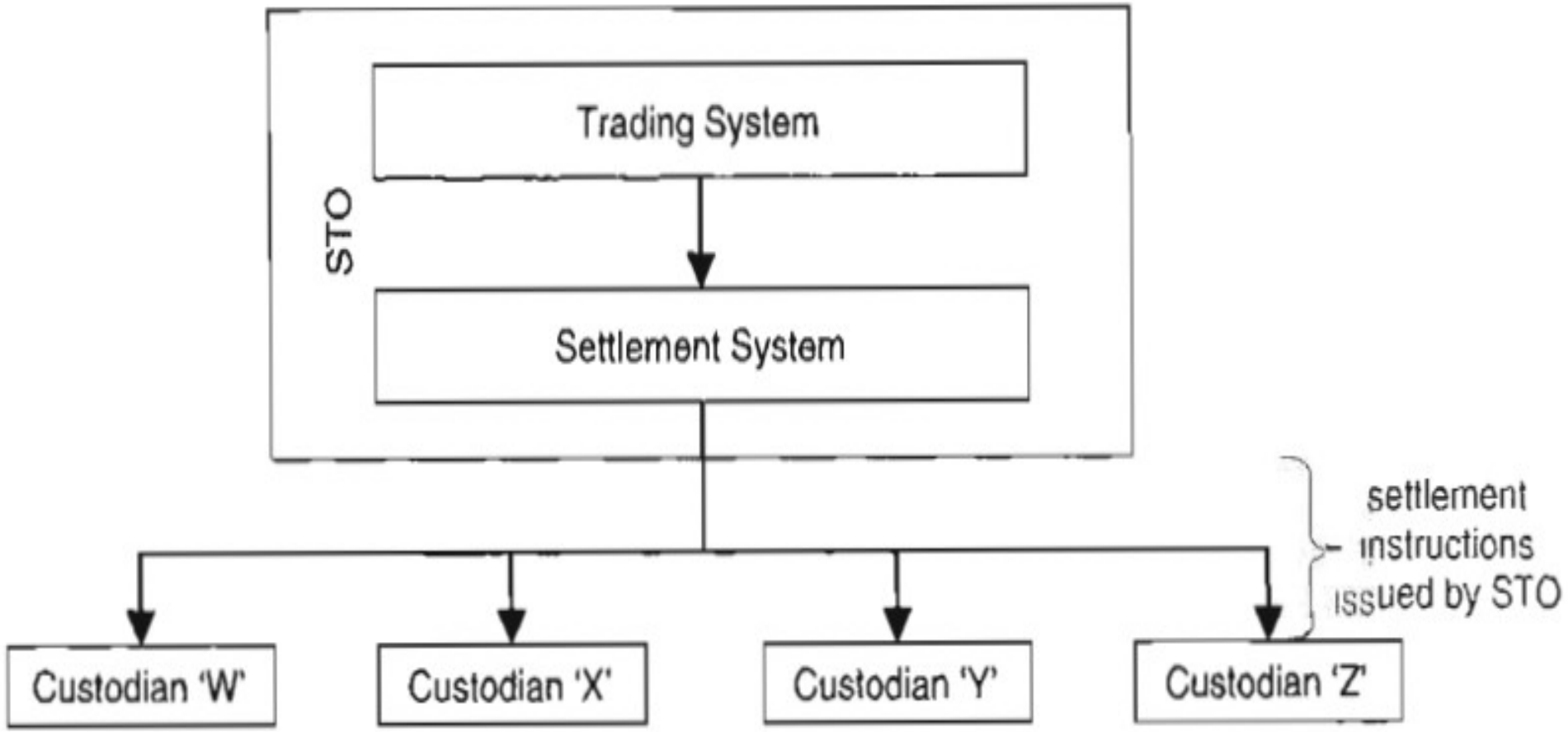
- **OTC Cleared** : traded on licensed trading venues known as swap execution facilities (SEFs) or multilateral trading facilities. They are traded via SEFs and settled through via CCP platforms
- **OTC Non-Cleared** - Bilateral contracts (no clearing house)

Swap execution facilities (SEFs) are trading platforms intended for swaps products.
They are mandated under the Dodd-Frank Wall Street Reform Act of 2010.
Because of the complex nature of swaps, these platforms are not exchanges per se but they do function as a counterparty matching service.
Swaps traded on SEFs fall under the oversight of both the SEC and CFTC.

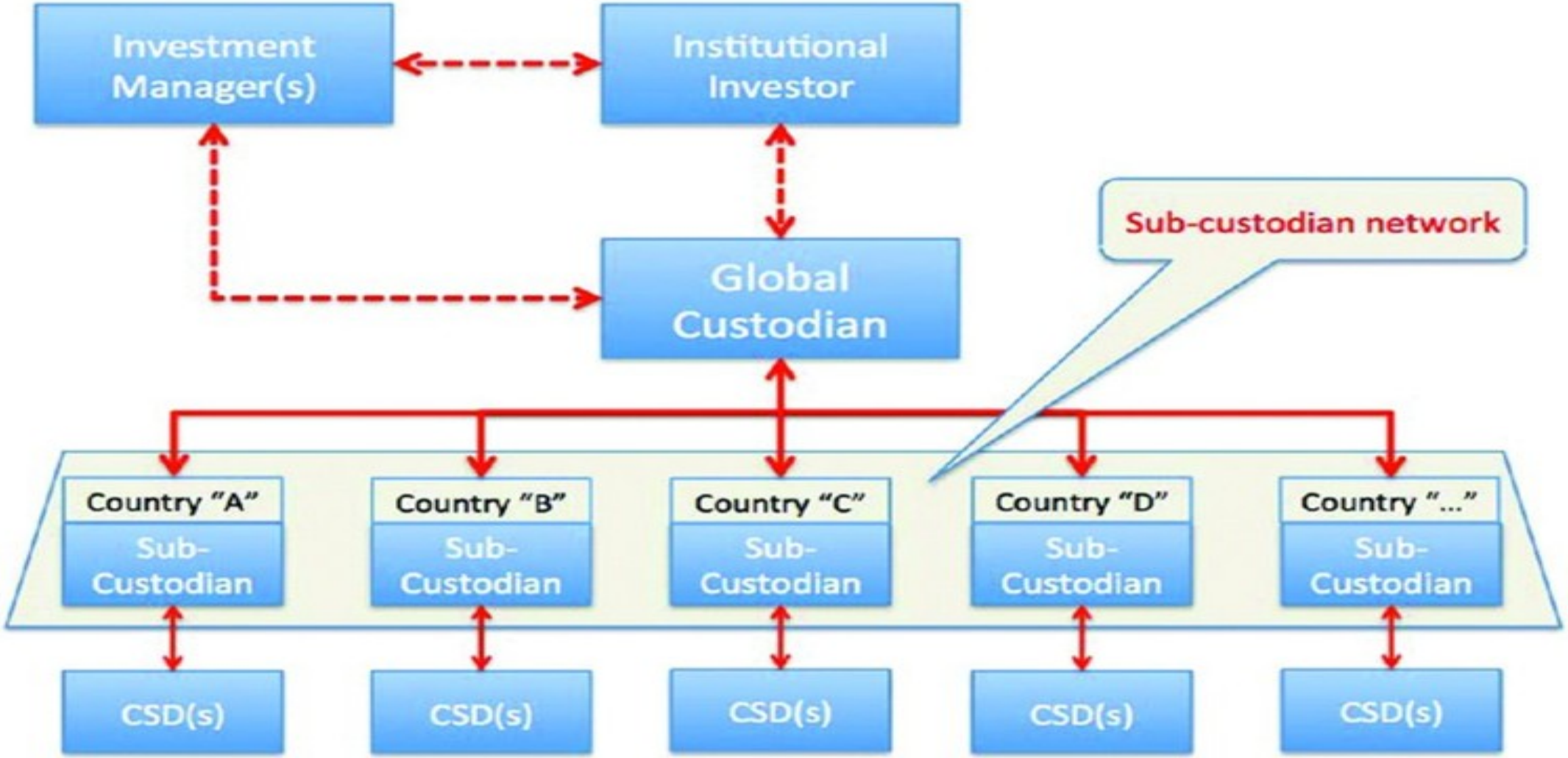
Typical OTC Cleared Derivatives Trade



Settlement Instructions to the custodians



Settlement Instructions to the custodians



LIFE CYCLE OF AN OTC DERIVATIVES TRADE

Portfolio reconciliation

Portfolio reconciliation - verification of the existence of all outstanding trades and comparison of their principal economic terms, is considered good market practice but does not occur routinely with OTC derivatives portfolios. Problems such as disagreements over collateral obligations or missed payments may prompt a portfolio reconciliation between counterparties. Still, most market participants argue that without an automated process for reconciling the details of some or all outstanding transactions, the process is too costly relative to the perceived benefits. TriOptima has been testing a portfolio reconciliation service (triResolve) and other service providers (eg Markit and Algorithmics) are reported to be developing similar services.

EXAMPLE OF OTC TLC WITH ISDA

- A practical application of the International Swaps and Derivatives Association (ISDA) can be seen in the negotiation and execution of interest rate swaps, a common type of over-the-counter (OTC) derivative. Let's walk through a scenario where the ISDA Master Agreement is used in action:

EXAMPLE OF OTC TLC WITH ISDA

IMARTICUS LEARNING

Scenario: Interest Rate Swap Transaction

Initial Contact

Two financial institutions, Bank A and Bank B, decide to enter into an interest rate swap to manage their interest rate exposure. Bank A has a variable-rate loan, while Bank B has a fixed-rate loan.

Negotiation Phase

The parties negotiate the key terms of the interest rate swap, such as the notional amount, fixed and floating interest rates, payment frequency, and maturity date. During this process, they may use the ISDA Master Agreement as a starting point.

Confirmation of Terms

Once the terms are agreed upon, the parties use a short form confirmation or term sheet that summarizes the key details of the transaction. This document references the ISDA Master Agreement for the full legal terms and conditions.

EXAMPLE OF OTC TLC WITH ISDA

IMARTICUS LEARNING

Legal Review

Legal teams from both banks review the short form confirmation and ensure that it aligns with the terms and conditions outlined in the ISDA Master Agreement. The ISDA Master Agreement provides a standardized legal framework, reducing the need for extensive negotiations for each transaction.

Execution of Documents

The parties execute the short form confirmation, and by doing so, they incorporate the terms of the ISDA Master Agreement by reference. This legally binding confirmation document serves as evidence of the agreement to enter into the interest rate swap.

Ongoing Transactions

As part of the ongoing relationship between Bank A and Bank B, they continue to enter into additional interest rate swaps. For each new transaction, they may use a similar process, often leveraging the standardized terms and legal framework provided by the ISDA Master Agreement.

EXAMPLE OF OTC TLC WITH ISDA

IMARTICUS LEARNING

Risk Management and Reporting

The ISDA Master Agreement includes provisions related to events of default, termination events, and collateral management. These provisions help the parties manage and mitigate risks associated with the interest rate swap. Additionally, the agreement includes reporting obligations to ensure transparency between the parties.

Dispute Resolution

In case of disputes or disagreements, the ISDA Master Agreement outlines a dispute resolution process, including provisions for mediation and arbitration.



Real World Examples

REAL WORLD EXAMPLES

Several OTC transactions have had widespread implications, influencing financial markets, institutions, and regulatory landscapes.

Long-Term Capital Management (LTCM) Crisis (1998)

LTCM was a hedge fund led by Nobel laureates and financial experts. The fund engaged in complex OTC derivatives transactions, particularly in the fixed-income markets. The fund's highly leveraged positions and interconnected trades led to massive losses. Concerns about LTCM's potential collapse prompted a consortium of banks to intervene and prevent a broader financial crisis. This event underscored the systemic risks associated with OTC derivatives and contributed to discussions on hedge fund regulation.

REAL WORLD EXAMPLES

IMARTICUS LEARNING

Subprime Mortgage Crisis (2007-2008)

The subprime mortgage crisis involved OTC derivatives tied to mortgage-backed securities. Complex financial products, such as collateralized debt obligations (CDOs) and credit default swaps (CDS), were central to this crisis. When the U.S. housing market collapsed, the interconnectedness of financial institutions through OTC transactions amplified the impact globally. Lehman Brothers' bankruptcy in 2008 highlighted the vulnerability of financial institutions heavily involved in OTC markets, leading to widespread economic downturns and regulatory reforms.

REAL WORLD EXAMPLES

European Sovereign Debt Crisis (2010-2012)

The crisis was fueled by concerns about the solvency of several European countries. OTC derivatives, particularly credit default swaps, were used to hedge exposure to sovereign debt. The interconnectedness of European banks through OTC transactions exacerbated the contagion effect. The crisis led to financial instability, bailouts, and increased regulatory scrutiny of sovereign debt-related OTC derivatives.

Swiss Franc De-pegging (2015)

The Swiss National Bank's unexpected decision to de-peg the Swiss Franc from the Euro in January 2015 had widespread implications for institutions holding OTC derivatives tied to currency values. The sudden move caused significant losses for some market participants, highlighting the risks associated with currency-related OTC transactions.

REAL WORLD EXAMPLES

Several OTC transactions have had widespread implications, influencing financial markets, institutions, and regulatory landscapes.

Archegos Capital Management Collapse (2021):

Archegos Capital Management, a family office, faced margin calls related to its leveraged equity positions. The unwinding of Archegos' OTC derivatives transactions led to significant losses for major banks involved. This incident raised questions about risk management practices, transparency, and the potential systemic impact of large OTC derivative positions.

These examples underscore the importance of understanding and managing risks associated with OTC transactions, as well as the need for effective regulatory oversight. OTC markets provide flexibility and customization but also pose challenges related to transparency, counterparty risk, and systemic implications. As a result, regulatory reforms, such as those introduced after the 2008 financial crisis, aim to enhance transparency, reduce counterparty risk, and improve overall market stability.



IMARTICUS LEARNING

THANK YOU !!!

Contact us today!
https://imarticus.org/